

AK.1 Owner-Builder Exemption Walkthrough

Which of Alaska's twelve exemptions you actually build under — most guides name the wrong one — the two-year conditions attached to it, and the trade rules that are not waived with it.

Before you use this document

This is a process reference, not legal advice. Alaska has no statewide residential building code and, over most of its land area, no local building department either — so what binds your house is a short stack of *state* rules that apply whether or not anyone inspects, plus whatever your borough, your city, your lender and your utility require on top. Confirm every item with the office that will actually decide it before you rely on it. Statute text was read at akleg.gov in August 2026 against the Alaska Statutes 2025 compilation; statutes change.

THE SHORT VERSION

Alaska has **no general contractor license** and no license examination. What it has is **registration**: a person may not work as a contractor until the Department of Commerce, Community, and Economic Development has issued a certificate of registration. Building your own house is not that — but the reason it is not that matters, because Alaska writes its exemption as a list of twelve numbered paragraphs, and **a new house and a remodel come under different paragraphs with different conditions**.

AS 08.18.011(a) and AS 08.18.161, Alaska Statutes, Title 8, Chapter 18 (Construction Contractors). Read at akleg.gov, August 2026.

The exemption at a glance

Question	Alaska's answer
Is there a license exam?	No. Alaska registers contractors; it does not license them by examination the way most states do. There is no general contractor exam to be exempted from
Is there a project-cost threshold?	No. Nothing in the exemption is keyed to the value of your house. Bond amounts are keyed to project value — but those are a <i>registered contractor's</i> obligation, not yours
Must you own the land?	For a new house, yes — the paragraph you rely on is written for " <i>an owner who acts as the owner's own contractor</i> "
Must you live in it?	The statute does not say so. Alaska conditions the exemption on <i>frequency</i> and on <i>selling</i> , not on occupancy — which is unusual, and cuts in your favor
How often may you do it?	Once every two years. One home, duplex, triplex, four-plex, or commercial building. This is a real, printed limit and most states have no equivalent

The exemption at a glance

Question	Alaska's answer
Can you sell it?	Yes — but advertising or selling it during construction or within two years of the start triggers a notice you must file, and an investigation the department <i>shall</i> conduct
Can you do your own wiring, plumbing and heating?	Largely yes, under three separate exclusions in two different statutes , each with its own test. None of them comes with the contractor exemption

THE PARAGRAPH ALMOST EVERYONE CITES IS THE WRONG ONE

Search for the Alaska owner-builder exemption and you will be given **AS 08.18.161** — correct — and then a paraphrase of paragraph (9), usually rendered as "a person performing work on that person's own property." Read the actual words:

What paragraph (9) really says

The chapter does not apply to "*a person working on an **existing structure** on that person's own property, whether occupied by the person or not, and a person working on that person's **own existing residence**, whether owned by the person or not.*" (AS 08.18.161(9))

Existing. Twice. Paragraph (9) is the **remodel and repair** paragraph — it is what lets you re-roof your cabin, or renovate the house you rent. A bare lot has no existing structure on it, so (9) does nothing for a new house. Every summary that offers (9) as *the* owner-builder exemption has quietly dropped the word that decides the question.

The paragraph that lets you **build a new house** is **(11)**, and it is a single 200-word sentence carrying every condition Alaska imposes on an owner-builder. It is reproduced in full below because no paraphrase of it is safe.

Paragraph (11) — the new-construction exemption, in full

The chapter does not apply to "*an owner who acts as the owner's own contractor and in doing so performs the work independently or hires workers or subcontractors, purchases materials, and, as such, sees to the paying for all labor, subcontractors, and materials; in this case, **the owner shall be limited to construction of one home, duplex, triplex, four-plex, or commercial building every two years;***

*an owner who advertises the structure under construction for sale or sells the structure during the period of construction or within two years after the period of construction begins **shall file, on forms provided by the department, a notice indicating that the owner is not engaged in a business for which the owner is required to register as a contractor under this chapter;***

for the purposes of this paragraph, **construction begins on the date that is the earlier of** when the owner (A) begins the actual construction work; or (B) enters into an agreement with another person for the other person to provide labor, to act as a subcontractor, or to provide materials for the construction." (AS 08.18.161(11))

Read what it does **not** require. It does not require you to occupy the house. It does not require the structure to be a residence at all — a commercial building is named in the same breath. It does not bar you from hiring subcontractors; it expressly contemplates that you will. And it does not forbid you to sell. What it does is cap you at **one building every two years** and attach a filing duty to selling early.

AS 08.18.161(9) and (11), quoted verbatim. The full section lists twelve exemptions; (8) also exempts "an owner who contracts for a project with a registered contractor," which is the paragraph you rely on for the parts of the job you hand to a registered firm. Read at akleg.gov, August 2026.

THE TWO-YEAR CLOCK STARTS EARLIER THAN YOU THINK

The for-sale window runs for two years "after the period of construction **begins**" — not after it ends, and not from the certificate of occupancy. And the statute defines the start date for you, at the **earlier** of two events: the day you begin actual construction work, or the day you **enter into an agreement with another person to provide labor, to act as a subcontractor, or to provide materials**.

Signing an excavation contract in March and breaking ground in June means the clock started in March. On a house that takes fourteen months to finish, you are already ten months into the window on the day you move in. That is worth knowing in both directions: it is a shorter window than people assume, and it is **the one date in this kit worth writing down on the day it happens**.

Earlier of first work / first agreement — date: _____ Two-year window ends: _____

What filing the notice actually sets in motion

If you advertise or sell inside that window, the notice is not a formality you file and forget. The statute that receives it is directive: "If an owner files a notice of the advertisement of a structure for sale or the sale of a structure during the period of construction or for two years after the period of construction begins under AS 08.18.161(11), the department **shall investigate** and take appropriate action under this chapter if the notice and circumstances indicate that the owner is operating a business for which the owner is required to register as a contractor." (AS 08.18.116(b))

So the test is not the sale itself — it is whether the circumstances show you were running a contracting business. The definition the department is measuring you against is narrow and helpful: a "contractor" is a person who acts **"in the pursuit of an independent business"** (AS 08.18.171(4)). One house, sold because a job moved or a marriage ended, is not an independent business. A second house inside two years starts to look like one — which is exactly why the frequency cap and the notice sit in the same sentence.

Keep the evidence while it is cheap. Your reason for selling, in writing and dated. The listing history. Proof this is the only structure you have built in the period. Assembling that two years later, from memory, is how a defensible position becomes an expensive one.

THE TRADES ARE A SEPARATE QUESTION — AND A SEPARATE TITLE

Qualifying under AS 08.18.161(11) exempts you from **contractor registration**. It says nothing about whether you may wire, plumb or heat the house yourself. Those live in different chapters, they are worded differently from each other, and the differences are not cosmetic.

Doing your own trade work — three exclusions, three different tests

Trade	What the statute actually says	Authority
Electrical	Excluded: " <i>electrical installation on residential property that is owned by the installer or a member of the installer's immediate family and not intended for sale at the time of making the installation.</i> " Two conditions — ownership and not-for-sale — and both must hold when the work is done.	AS 08.40.190(b)(3)
Mechanical (heating, gas, plumbing systems)	Excluded: " <i>mechanical installation on a single-family residence or a two-family residence that is not intended for sale at the time of making the installation.</i> " Note what is missing : no ownership condition at all, and it is capped at two dwelling units.	AS 08.40.390(b)(3)
Plumbing (the state plumbing code)	The broadest of the three, and unconditional: " <i>Nothing in AS 18.60.705 — 18.60.740 prohibits a person from performing plumbing work on the person's own property.</i> " No not-for-sale clause, no occupancy clause.	AS 18.60.715(c)

The asymmetry no Alaska guide prints — and the remote thresholds that differ tenfold

Guides routinely cite **AS 08.40.190** for "electrical and mechanical" homeowner work. AS 08.40.190 is in the **electrical administrator** article and reaches electrical work only. The mechanical exclusion is a different section — **AS 08.40.390** — in a different article, and it is worded differently in a way that matters: **the electrical exclusion requires you to own the property; the mechanical one does not.**

The same two sections carry a remote-community exclusion, and the numbers are **an order of magnitude apart**. Electrical: work costing not more than **\$5,000**, in a community of under **500** people or more than 50 miles by air or water from a licensed electrical administrator (AS 08.40.190(b)(2)). Mechanical: work costing not more than **\$50,000**, in a community of under **5,000** people or the same 50-mile test (AS 08.40.390(b)(2)). A single figure quoted for "trade work" in remote Alaska is wrong for one of the two trades, whichever figure it is.

And an exclusion from the license is not an exclusion from the code

The electrical article says so in terms: work within the exclusions *"is nevertheless subject to the inspection provisions of AS 08.40.070 and **must follow the regulations adopted by the department, other than regulations requiring licensure for the work.**"* (AS 08.40.190(c)) The regulation you must follow is **8 AAC 70.025(a)** — the **2020 edition of NFPA 70, the National Electrical Code**, which "constitutes the minimum electrical code for the state."

And it has teeth that survive the absence of an inspector. A person who **knowingly** violates *"a minimum electrical standard established under AS 18.60.580 — 18.60.590"* is guilty of a misdemeanor punishable by a fine of **not more than \$5,000** (AS 08.40.180). There is no comparable exemption from the plumbing side either: the state's minimum plumbing standards *"are to be followed **throughout the state**"* (8 AAC 63.010(a)). See **AK.2** for which of these is actually inspected where you are building — the answer surprises people.

AS 08.40.190(b)(2), (b)(3), (c); AS 08.40.390(b)(2), (b)(3); AS 08.40.180; AS 18.60.715(c); 8 AAC 70.025(a); 8 AAC 63.010(a). Note that AS 08.40.390 has **no subsection (c)** — the *"still-follow-the-regulations"* sentence appears in the electrical article only. Statutes and regulations read at akleg.gov, August 2026.

THE CERTIFICATE OF FITNESS — WHY IT DOES NOT REACH YOU

Alaska requires a **certificate of fitness** to do electrical or plumbing work, and this is where most descriptions of Alaska law go wrong in a way that frightens owner-builders off work they are entitled to do. There is **no express homeowner exemption** from the certificate of fitness. Searching the whole certificate-of-fitness statute and its regulations for "homeowner," "own residence" or "single-family" returns nothing at all.

What protects you is not an exemption — it is **scope**. Both AS 18.62.010 and AS 18.62.070 attach the duty only to work *"subject to the standards established in AS 18.60.580 and AS 18.60.705."* So the question is never "am I exempt?" It is **"is my work inside either program in the first place?"** And for a detached single-family house the answer is largely no:

- **Electrical.** The program is limited by 8 AAC 70.010 to *"public structures"* and places of employment, and a "public structure" is defined as buildings such as hotels, **resident housing with more than one rental unit**, restaurants and places of public assembly. The Department describes its own reach as three-plex and above. Your house is outside it — and note the trigger is the **building type, not the location**: a four-plex in the unorganized borough is inside the program even though nothing else there is.

- **Plumbing.** Two independent limits. Communities under 2,500 population are exempt from the chapter outright (AS 18.60.735), and above that line AS 18.60.715(c) still says "*Nothing ... prohibits a person from performing plumbing work on the person's own property.*" That is a genuine statutory homeowner right, and it is the only one of the three trades that has one in those terms.

One caution on the regulation, because it is stricter than the statute

If you go looking, you will find that AS 18.62.010 frames the duty around being "employed" — which reads as though an owner working on their own house is outside it by definition. **Do not rest on that reading.** The implementing regulation drops the word: 8 AAC 90.105(a) requires a certificate of "*an individual **engaged in the performance of work** subject to the standards established in AS 18.60.580 and AS 18.60.705.*"

So the employment argument is weaker than it looks, and the scope argument above is the one that actually holds. It is still worth one phone call to the Mechanical Inspection Section before you start — write down what you are told, and by whom.

Confirmed with: _____ Date: _____ What you were told: _____

AS 18.62.010; AS 18.62.070; 8 AAC 90.105(a) — the certificate-of-fitness regulations are in **8 AAC 90**; 8 AAC 70.010 and 8 AAC 70.090(4); AS 18.60.735; AS 18.60.715(c). Penalty for working without a required certificate is a fine of not more than \$500 (AS 18.62.080).

WHEN YOU HIRE — WHAT TO CHECK, AND WHAT PROTECTS YOU

Your exemption is yours. It does not travel to the people you pay. Anyone working as a contractor on your job needs their own registration, and for a house there is a second layer most owners never hear about.

The residential contractor endorsement. A general contractor "*may not undertake the construction or alteration ... of a privately-owned residential structure of one to four units*" without a **residential contractor endorsement** — and "alteration" means changes worth more than **25 percent** of the value of the structure. To hold it, a contractor must pass an examination that "*may test competence in relation to **arctic structural and thermal construction techniques***" and, within the two years before applying, must have completed "*the Alaska craftsman home program sponsored by the department, or its equivalent, or a **postsecondary course in arctic engineering**, or its equivalent.*" Renewal requires proof of continued competency.

You do not need it — the endorsement attaches to the general contractor, and you are exempt from the chapter that creates it. But **the contractor you hire to frame your house does**, and it is a one-minute check. It is also the clearest statement Alaska makes about its own climate: the state considers cold-climate housing a distinct competency and makes professionals prove it. Nothing forces you to learn it. Everything about the building does.

The "16-hour course" you will read about is the renewal, not the entry

Guides state that the endorsement takes "a 16-hour course and a 50-question exam." Neither figure is in the law. AS 08.18.025(b)(4) sets **no hour count** for the entry course — it names the Alaska craftsman home program or a postsecondary arctic engineering course "*or its equivalent*." The real 16 is the **renewal** requirement: 12 AAC 21.650(a) calls for **16 contact hours** of continuing competency every two years. And the only examination standard in the regulations is a **passing score of 70 percent** (12 AAC 21.680(3)) — no question count appears anywhere.

It matters because it is the kind of detail a contractor will quote at you to sound authoritative. Ask instead for the two things that are checkable: the endorsement on the state license search, and a current **Alaska business license**, which is a separate requirement from contractor registration and which people do let lapse.

AS 08.18.025(a), (b)(2), (b)(4), (c); 12 AAC 21.650(a); 12 AAC 21.680(3). Registration verification is free at **commerce.alaska.gov** → Division of Corporations, Business and Professional Licensing → Search Licenses. Search by name or license number and read the status line, the endorsement, and the expiry date.

The provision that protects you when a contractor is not registered

*"A person acting in the capacity of a contractor ... **may not bring an action in a court of this state for the collection of compensation** for the performance of work or for breach of a contract for which registration is required under this chapter **without alleging and proving** that the contractor ... was a registered contractor at the time of contracting."* (AS 08.18.151)

An unregistered contractor cannot sue you for the balance. That is a genuine remedy and it is worth knowing before a dispute rather than during one — but it is a poor substitute for checking the registration first, because it does nothing about the bad work itself. A registered contractor also carries a bond you could claim against: **\$25,000** for a general contractor, **\$20,000** for one with a residential endorsement doing exclusively residential work, **\$10,000** for a mechanical or specialty contractor, and liability cover of at least \$20,000 property damage and \$50,000 per person. An unregistered one carries none of it.

AS 08.18.151; AS 08.18.071(b)(1)–(3); AS 08.18.101(a)(2).

QUALIFICATION CHECKLIST — WORK THIS BEFORE YOU START

Every line below is a condition Alaska law imposes or a fact worth fixing in writing at the time it is cheap to fix. Work down it with a pen.

Step 1 — The exemption you are relying on

	Item	Date	Notes / evidence
☐	You have identified the paragraph: AS 08.18.161(11) for a new structure, (9) only for work on something already standing		
☐	You have not built a home, duplex, triplex, four-plex, or commercial building under this exemption within the past two years Last such build (or NONE): _____		
☐	You have recorded the date construction begins — the earlier of first actual work and first agreement for labor, subcontracting, or materials Date: _____ Which event: _____		
☐	You understand the for-sale window runs two years from that date , not from completion		
☐	If any sale or advertising is contemplated inside that window, you have the department's notice form and know that AS 08.18.116(b) requires an investigation once it is filed		
☐	You own the property, or the ownership is settled, before you begin		

Step 2 — The trade exclusions you are relying on

	Item	Date	Notes / evidence
☐	Electrical: the property is owned by you or an immediate family member <i>and</i> is not intended for sale at the time you do the work — both conditions, AS 08.40.190(b)(3)		
☐	Mechanical: it is a single-family or two-family residence not intended for sale at the time of installation — AS 08.40.390(b)(3)		
☐	Plumbing: the work is on your own property — AS 18.60.715(c)		
☐	You have confirmed whether your community is at or above the 2,500 population line that brings the state plumbing code and state plumbing inspection into play (AK.2 and AK.4)		

Step 2 — The trade exclusions you are relying on

	Item	Date	Notes / evidence
☐	You have the correct code editions in hand before buying material: 2020 NEC and 2018 UPC statewide, or your local jurisdiction's editions if it enforces its own		
☐	For any trade you will not do yourself, the contractor is registered — and holds the residential endorsement if they are the general contractor Verified on: _____ Registration no.: _____		

Step 3 — everything that is actually required of the building (wastewater, water, access, floodplain, wetlands, the statewide rules that apply with or without a permit, and the lender's requirements) is worked in **AK.2 Permit Application Checklist**. Who to file each one with is **AK.4**.

WHAT IT COSTS TO GET THIS WRONG

None of this reaches a genuine owner-builder — you are exempt, so there is no offense. It is here because the numbers show where Alaska draws the line, and because the last one is a piece of Alaska in miniature.

- **Administrative fine.** The department may impose "*not more than \$1,000 for the first violation and not more than \$1,500 for a second or subsequent violation*" of the registration requirement or the residential endorsement requirement. (AS 08.18.125(a))
- **Civil penalty and injunction.** The superior court may enjoin unregistered contracting and "*may impose a civil penalty of not more than \$1,000 for each violation. **Each day that an unlawful act continues constitutes a separate violation.***" (AS 08.18.131)
- **Criminal, but only on repeat.** Unregistered contracting is a **class B misdemeanor** only where the person knowingly violates the registration or endorsement requirement *and* has previously been convicted, found guilty, or fined for the same thing. A first offense is a violation punishable under Title 12. (AS 08.18.141(a), (b))

The carve-out that only Alaska would write

"The department **may not impose an administrative fine** on a person who is acting as a contractor or home inspector in an area with a **population of 1,000 or less that is not connected by road or rail to Anchorage or Fairbanks.**" (AS 08.18.125(e))

The Legislature wrote the road system into the penalty provision. It is a useful reminder of how this state actually regulates construction: not by drawing lines on a map of boroughs, but by asking how big the community is and whether you can drive to it. You will see the same logic again in the plumbing code's 2,500-person threshold and in the trade exclusions' 500- and 5,000-person tests. **In Alaska, population and access are the code map.**

Sources — every Alaska claim in this document (verified August 2026)

What this document states	Authority
Registration, not licensure, and only for a person acting "in the pursuit of an independent business"	AS 08.18.011(a); 08.18.171(4)
Paragraph (9) reaches an EXISTING structure or existing residence — remodels and repairs, not a new house	AS 08.18.161(9)
Paragraph (11) is the new-construction exemption: one building every two years; notice on advertising or selling within two years of the start; construction begins at the earlier of first work or first agreement for labor, subcontracting or materials	AS 08.18.161(11)
Once that notice is filed the department shall investigate whether the owner is operating a contracting business	AS 08.18.116(b)
Residential contractor endorsement for 1-4 unit residential work; "alteration" is a change worth more than 25% of value; arctic coursework and continued competency	AS 08.18.025(a), (b), (c)
An unregistered contractor may not sue to collect; registered contractors carry a \$25,000 / \$20,000 / \$10,000 bond and stated liability minimums	AS 08.18.151; 08.18.071(b); 08.18.101(a)
Penalties: \$1,000 / \$1,500 administrative, \$1,000 civil per day, class B misdemeanor only on repeat — and no administrative fine off the road system in a community of 1,000 or less	AS 08.18.125(a), (e); 08.18.131; 08.18.141
Homeowner electrical exclusion requires ownership AND not-for-sale; mechanical requires only a 1- or 2-family residence not for sale; plumbing on your own property is unconditional	AS 08.40.190(b)(3); 08.40.390(b)(3); AS 18.60.715(c)
Remote-community exclusions differ tenfold: \$5,000 / pop. 500 electrical, \$50,000 / pop. 5,000 mechanical	AS 08.40.190(b)(2); 08.40.390(b)(2)
Exclusion from licensure is not exclusion from the code; the 2020 NEC is the state minimum electrical code and knowing violation is a misdemeanor up to \$5,000	AS 08.40.190(c); 08.40.180; 8 AAC 70.025(a)

Read any statute or regulation cited above free at akleg.gov → Bills & Laws → Alaska Statutes for an **AS** citation, or → Alaska Administrative Code for an **AAC** citation. Both are searchable by number — type 08.18.161 or 18 AAC 72 into the section box. Every quotation here was read there and verified August 2026 against the Alaska Statutes 2025 compilation.